

Changing customer segments required them to switch to hiring a sizable outbound sales staff that spent time attending conferences, educating executives, and authoring white papers. Those much higher costs came with a corresponding reward: the company switched from making only a few dollars per customer to making tens and then hundreds of thousands of dollars per much larger customer. Their new engine of growth led to sustained success.

Most sources of customer acquisition are subject to competition. For example, prime retail storefronts have more foot traffic and are therefore more valuable. Similarly, advertising that is targeted to more affluent customers generally costs more than advertising that reaches the general public. What determines these prices is the average value earned in aggregate by the companies that are in competition for any given customer's attention. Wealthy consumers cost more to reach because they tend to become more profitable customers.

Over time, any source of customer acquisition will tend to have its CPA bid up by this competition. If everyone in an industry makes the same amount of money on each sale, they all will wind up paying most of their marginal profit to the source of acquisition. Thus, the ability to grow in the long term by using the paid engine requires a differentiated ability to monetize a certain set of customers.

IMVU is a case in point. Our customers were not considered very lucrative by other online services: they included a lot of teenagers, low-income adults, and international customers. Other services tended to assume those people would not pay for anything online. At IMVU, we developed techniques for collecting online payments from customers who did not have a credit card, such as allowing them to bill to their mobile phones or send us cash in the mail. Therefore, we could afford to pay more to acquire those customers than our competitors could.

A Technical Caveat